James Bosworth on What Comes After Lula's Stunning Win

Podcast: Odd lots

AI Executive Summary

1. Core Thesis The episode analyzes the geopolitical and economic ripple effects of recent Latin American elections, contrasting Lula de Silva's surprising victory in Brazil with Venezuela’s election prospects under Donald Trump’s administration. Through forecasting analysis, James Bosworth (Stimson Center) argues that Brazil’s outcome was a referendum on incumbency rather than a mandate for Bolsonaro, while highlighting how US policy volatility continues to influence regional alliances despite "Orange Wave" dynamics waning. The discussion extends to US domestic election predictions and upcoming regional polls, emphasizing the need for financial stability and rule of law in volatile markets like Venezuela before foreign investment returns.

2. Key Arguments & Data

3. **Brazil Election Upset:** Flavio Bolsonaro entered the race as a favorite (polling ~64-87%) based on first-round data; Lula de Silva’s victory was driven by an anti-incumbent referendum and improved social media strategy (WhatsApp army of 5% of voters, effective 30-second clips).
4. **Forecasting Error:** Prediction markets significantly underestimated Lula's potential, missing a critical shift where 2-3 million votes swung the outcome in the second round (anti-incumbency bias).
5. **Religious Political Divide:** Brazil’s electorate is divided along religious lines—Evangelical Christians predominantly supported Bolsonaro, while Catholic voters favored Lula. This represents a structural driver similar to US politics but distinct from Brazil's historical trends.
6. **US Election Predictions:** Joe Wiesenthal predicts Democrats will win the House of Representatives (96% certainty), though the Senate remains close (coin flip). Recording on November 3rd, this was a significant call compared to Nate Silver’s past projections.
7. **Orange Wave Dynamics:** Latin American leaders (including Lula) are forced to respond to Trump's policies due to inflationary pressures and oil price impacts from the Iran War, even if they do not align with his

ideology. However, poll data shows voters are angry at incumbents over fuel costs rather than political alliances.

8. **Venezuela Military Presence:** Reports indicate negotiations for a Status of Forces Agreement (not permanent base) to provide US legal certainty for military operations against groups like the ELN. Delcy Rodriguez supports elections within 6-9 months, while her successor Machado would likely win if free and fair elections occurred (>90% probability).

9. **Investment Implications in Venezuela:** Major oil companies (Exxon, Chevron) avoid entering due to rule of law concerns; only small-cap wildcatters are active. Democracy is viewed as a prerequisite for long-term investment certainty.

10. Actionable Takeaways

11. **Monitor Regional Elections:** Watch upcoming elections in Ecuador (Mayo), Guatemala, and Argentina, as these will define the next swing in the "Orange Wave" and regional economic stability.
12. **Assess Commodity Exposure:** Be aware that Brazil's economy remains a net beneficiary of the Iran War via commodity exports, whereas Central America faces fuel cost penalties impacting incumbents.
13. **Venezuela Investment Risk:** Recognize that major oil firms are waiting for rule of law certainty; do not invest in Venezuelan projects with 30-year horizons until democratic transitions secure legal frameworks.
14. **Track Political Forecasting Accuracy:** Use James Bosworth's newsletter, "The Latin America Risk Report," as a benchmark for forecasting errors regarding prediction markets and election polling in the hemisphere.
15. **Understand Election Mechanics:** Analyze election outcomes not just by first-round results but by second-round shifts and social media dynamics (e.g., WhatsApp groups), which can override traditional polling data in digital-native nations like Brazil.

Full Transcript

Finance is increasingly being built on digital rails, but as the adoption of virtual assets, tokenisation and stable coins grows, can regulation not only keep pace, but help accelerate it? Find out more later in the podcast. Get essential news on the people and companies pushing the tech sector to new frontiers. Hi, I'm Ed Ludlow. Join me for Bloomberg Tech, a daily podcast focused exclusively on technology, innovation and the future of business. Every weekday we bring you the latest insights on Silicon Valley's top companies and conversations with tech's biggest decision makers. Listen to Bloomberg Tech on your commute home and stay ahead of the news cycle. Subscribe today on Apple, Spotify or anywhere you listen. Hey there, OddLots listeners. Tracy Allaway here. And Joe Wiesenthal. We have had an absolutely amazing year and we've gotten to see some of our listeners meet some of our listeners across the country at some of our live shows. But we are very excited because we are coming back home to NYC for another live recording. We have a really exciting lineup of perfect guests, including Lena Kahn, Pablo Torre, and Adam Tooze. And we really hope to see you there. Yep. So join us on December 9th at City Winery for another live taping of the OddLots podcast. Tickets are now on sale at Bloomberg.com forward slash OddLots. Or check the show notes here for a direct link. And either way, hope to see you there.

Hello and welcome to another episode of the Odd Laws podcast. I'm Joe Weissenthal. And I'm Tracy Allaway. So we're recording this. on November 3rd election day in the US. But there's really much to talk about during the election day itself. Everyone just waiting. It's a bit of an anti-climax, isn't it? You wait for election day and then like nothing really happens. It might happen, but yeah, nothing happens during the day. So the day of election day is actually a really good time to talk about a bunch of other stuff. Talk about other elections. Yeah, to talk about other things that are going on because nothing really happens that day. But we did recently have other elections as you hinted at in Brazil.

That's right. So we had a very, very surprised victory by Lula over Flavio Bolsonaro and then Flavio Bolsonaro. escaped. He fled. He fled and is now

in the US. So that's a really interesting question, like what that means for Brazil-US relations. The other thing that's been happening is Venezuela, right? Yeah. So right before we came on this podcast, there was a headline out of the New York Times saying that the US was in discussions to set up a military presence in Venezuela. Oh, interesting. So, you know, that raises questions as well over whether or not like Venezuela is basically becoming a protectorate of the U.S., I guess. So, right. So, one of the things that we know is that the Trump administration, or at least the State Department, has this sort of weird, maybe surprisingly friendly relations with Delta Rodriguez, the successor to...

The successor to Maduro, who we captured and now have in custody in New York earlier this year. And so, but like recently, like there's been the return of the Democratic challenger there. The opposition leader. The opposition leader, et cetera. So it's sort of an interesting time to like catch up. Did we use this time? Let's talk about other American elections. Let's talk about other. South American elections. Politics elsewhere in the hemisphere. Anyway. Very excited to have back on the podcast. We talked to him earlier this year. James Bosworth, he's a non-resident fellow at the Stimson Center and is the author of the excellent newsletter, The Latin America Risk Report. James, thanks so much for coming back on OddLots. Thank you for having me. Just tell us, like, how did Lula win after, you know, even going into that day?

all the math and polls and everything thought it was pretty clearly going to be Flavio Bolsonaro. So there are two answers to that. Okay. One is that Flavio was a terrible candidate and the other was that Lula was a great candidate. So let me run through those both, right? Flavio was a terrible candidate. In fact, when I was here in New York the last time I gave a presentation elsewhere and someone asked, what could Flavio Bolsonaro do better? And I said, change his last name. There's an element in which being a Bolsonaro was a weight on him. And I mean, you go back and his father, Jair Bolsonaro, former president, was accused of convicted of being involved in a coup attempt in 2022-2023. And if you remember January 8th, 2023, very similar to January 6th, 2021, there was a big event in Brasilia where a mob of protesters took over various buildings in the capital. And so Jair Bolsonaro was convicted of that.

Flavio has had issues. Five years ago, he was accused of money laundering while he was a congressman. Earlier this year, he was connected to Daniel Volcarro, who was the head of Banco Master, which was a big financial scandal in Brazil, and was caught on WhatsApp asking for millions of dollars from this banker. Seems bad. It was bad. Right before the election, there was a Brazilian magazine that tied him to pharmaceutical lobbyists and prostitutes on a boat. And then even when he fled from... Brazil, the plane he flew from Argentina to the US on was connected to a money laundering investigation inside of Argentina and a drug trafficking case in Texas. I want to get into all these details, but just going to like all of this was true prior to the first round of the holiday, right?

All of these negatives on him were in the case when he came in first during the first round of voting. So where did something go change or what was the mechanism via which that didn't translate to the final round? Across the last six years, eight years in Latin America, really across much of the world, we've been in an anti-encomment environment. Everything is a referendum on the incumbent and Lula de Silva was sitting at 45% in the polls and the first round was really a referendum on Lula. It wasn't about Flavio Bolsonaro. In some ways coming in first place in the first round was the worst thing that could happen to Flavio Bolsonaro because all of a sudden all of the attention got put on him and it let Lula catch up from behind. It shook up his campaign and gave him the opportunity to win.

Didn't he shake up his campaign strategy as well? I heard he hired a social media manager put put younger people in charge of some of it He got his first cell phone Lula had never had a smartphone before yes, they started Lula's army a WhatsApp group They had I think 10 over 10 million people on it over 5% of Brazilian voters were on this WhatsApp group and the day of the election when there were various shenanigans on both sides every everybody plays dirty tricks, but certain mayors blocked the bus service, the WhatsApp group got into mode and started driving voters to the polls. Things like that really mattered. And Lula, who had never really understood social media, even though Brazil is the most online country potentially in the entire world, Lula had really, he nailed it during the debates. He hit these little 30 second clips that were perfect to share on social media. I don't know if he did it intentionally or not, but it was perfect. Some people just

have that. You know, it's interesting what you say about this sort of like anti-incumbent bias.

working against Bolsonaro due to him having won the first round. I saw some people speculate, you know. Universe B where the US is a different electoral system, whether Trump would have won in 2016 had the first round been like, okay, let's narrow it down to the final two, kick off all the random third parties like, oh, like it's gonna be Trump. Like maybe not. You know, it's like, you never really know. But I sort of get that what you're saying. Like it's sort of like resetting the expectations of who the president is. Right. I mean, usually across... two round elections, usually the first round winner wins. But the reason you have the second round is so these things can happen, so voters can have that moment, and so the president can build a potential majority coalition for themselves.

Correct me if I'm wrong, but didn't you have a Bolsonaro win as your base case? So I had Bolsonaro winning the night before the election I had Bolsonaro winning at about 64% so prior to the first round I was essentially coin flip 64% chance to win and the prediction markets were at Yeah, they were. In fact, there was a moment where the prediction market said 87% for Bolsonaro. And so there's always this element of, you know, who got it less wrong becomes a real question in some of these prediction market things. And I know that this was a big miss for the prediction market, right? I mean, you always wonder, was this the 20% shot that happened or did they miss? I will tell you, they missed. They were overconfident on this election. I missed. I wish I had been lower on the floppy odds. But you obviously thought that Lula had a real chance of winning. Oh, absolutely.

You know better than a third right there a chance of winning and the reasons were I mean you could see him slowly catching up in the polls and you could see his campaign just doing well generally now I can't base a prediction on vibes all of the data all of the polls said Flavio Bolsonaro was going to win and so I mean I am based on the first in the first round data It looked like Flavia winning but you know you have to sort of factor in okay But he's catching up and the polls seem to be herding together and correlated and there's there were other issues as well So that all went to the model How much of the myths by prediction markets and pollsters had to

do with, I guess, surprise voters actually turning out in the election? Because it seems like maybe a lot of people who weren't polled actually turned up and voted for Lula.

On one hand, it's really small numbers. The change in turnout from the first round to the second round was less than 2%. You got a slight shift in terms of non-voters, people who cast blank or invalidated ballots the first round. You had another one or 2%. But in Brazil, that's a couple million votes. And in an election, one by four million votes, a shift of 1% or 2% across those rounds really did make the difference. Wait, what's the deal with Bolsonaro's stepmom? Michelle yeah, what was the deal? I saw in your newsletter you mentioned something she said or did So early on Michelle Wilson who's a stepmom Michelle Bosner had and she won a Senate seat by the way during this past election But she and Flavio had a little fight and then they made up and now she's considering changing parties potentially Which is also odd to leave the Bolsonaro party when her last name is Bolsonaro But but she and Flavio had this just spat in which it seemed like Flavio was not respecting her and because was already weak among women voters. This did not help the odds for his campaign. Across the whole campaign, he had setback after setback. It's actually impressive he did as well as he did in the first round. But, you know, his campaign, he was also very professional. If you watched him in the debates, he was very well coached. He didn't answer the questions, but that's typical in a lot of debates across democracies. He was very well coached. He did not do poorly in the debates. Well, speaking of Bolsonaro's...

party, are you seeing like a fracturing there? Because I think he's rejecting the results of the election from the US where he now is. But meanwhile, his party has accepted the result, right? So like his own party has accepted the result that he's rejecting. What does that mean? The fracturing is not as bad as it was four years ago, which I mean four years ago. After Jair's attempted coup, there was a real fraction. You saw a lot of centrist parties jump in and support Lula. It gave Lula big support for the first year of his presidency in this most recent term. This time, you do see it's not a fracturing, but it's a recognition, I think, that maybe the Bolsonaro's shouldn't be the candidates in 2030. They're already playing this out and saying, we need to figure out a strategy because Everybody knows that if the candidate had been Tarsus de

Ferretas, who won the governor of Sao Paulo, or any other right-wing candidate, they would have... That person would have defeated Lula. I feel convinced of it. Every Brazilian analyst feels convinced of it. So, the question is, how do we avoid running the Bolsonaro's in 2030 so that somebody else can run, because that candidate will be a stronger candidate than anyone with the last name of Bolsonaro?

And this episode we're diving into the digital forces shaping finance. Sean McHugh from Dubai based Virtual Assets Registry Authority has this to say. We're seeing a lot of in-social players come in, digital asset dedicated hedge funds, high-frequency traders and that sort of thing and folks who service in-social clients. As more capital enters the market, adaptive regulation is likely to become increasingly key. Rhys Merrick of Ripple says A lot of regulators globally would like to keep the industry at arm's length. That's the opposite here. I think also what you'll find is that regulation and frameworks can come out, but some of them are maybe a slight iteration on some 80-year-old policy and not actually in line with what the technology can do and offer. And again, that's very different in Dubai. Listen to the full episode wherever you get your podcasts. This series is brought to you by Bloomberg Media Studios and the Dubai Department of Economy and Tourism.

Want to know how three words might have changed our understanding of the biggest espionage case in US history? Or the lengths the SEC might go to investigate a golf tee time? The answers are out there. The trick is getting the government to share them. From Bloomberg and No Smiling, this is Disclosure, a podcast about prying those secrets loose and the unexpected places that takes us. Listen or watch wherever you get your podcasts. I have a question, and this is something I know nothing about. It's not even really related to the election specifically. In fact, it's one of those things you read an article about every once in a while and forget. After Brazil, they did badly in the World Cup this year, and I saw a bunch of people on social media complaining or tweeting like, oh, Brazil hasn't been good at soccer ever since the Catholic population of the country has declined. These evangelicals can't play soccer.

This is just tweets that I saw. Can you talk a little bit about the sort of like politics and the rise, like the historical rise? I mostly associate Latin American countries with Catholicism, but I know these are like dated takes and that across Latin America, there's been a pretty big rise in like American style, evangelical Christianity, et cetera. Can you talk a little bit about who that demographic is, like that shift, that wave, et cetera? And it's hard because the evangelicals also correlate. somewhat more with rural voters in certain areas, but the urban voters as occurs in the United States in some ways. But the evangelical rise in Brazil has definitely created a divide inside of the electorate. And you saw it, every poll, there's not really exit polls in the same way we have in the US, but every poll in Brazil showed that the evangelical community largely voted for Bolsonaro and the Catholic community largely voted for Lula. But as evangelicals and Catholics are getting...

close to parody in Brazil in terms of... So what has driven that though? Like, what is the long-term structural driver of the growth of evangelical Christianity across Latin America? To self-define their evangelical. They are constantly recruiting. And they're self-promoters, Joe. They're working for it, yeah. And the Catholic Church, I think, has fallen behind on certain aspects of that. I think the other aspect of this is... And there's elements of the Catholic Church... in the United States and in Latin America that are quite conservative, small C conservative in terms of how they view social policy. And Lula's coalition is much more small L liberal in the sense of they will support gay marriage. And I think that divide has caused the Catholic Church to have some drop in Latin America and in Brazil while the evangelical community has taken advantage of that.

The last time we had you on this podcast, you talked about an orange wave or the idea of a bunch of Latin American leaders sort of aligning themselves with Trump and striking deals and all of that. With the surprise result in Brazil, does that mean that the orange wave has crested, I guess, or is Brazil an exception? It's a great question. Everyone's watching Argentina next year to find out what the answer to that is. So there's sort of two questions here, right? One is this idea that there are a bunch of pro-Trump leaders who have won and whether that was because there's been a shift to the right or just a pendulum in an anti-encomment environment, I tend to be the latter

explanation. Trump was going around saying he was nine for nine in elections recently. He just pulled that number out of the air. But it's relatively close to how he had done prior to Brazil. There's still going to be for the next two years an orange In the sense that you have this element of every Latin American leader, right, left, center, must respond to Trump. He forces them to respond, right? So even though Lula has won this election and the election did not go Trump's way, and Trump is now trying to back away a bit from Bolsonaro, you have Lula to Silva.

having to work with Trump, having to respond to Trump, having to deal with tariffs. You have Claudia Scheinbaum in Mexico having to do the same. Everyone has to respond to Trump whether or not they agree with him, and that's still going to define the following two years until Trump leaves office in January, 2029. How much has the Iran War specifically flipped the sign, so to speak, about the value of being good friends with Trump or in Latin America? So it really hasn't impacted... There's Latin American leaders are not responding to Trump's Iran war directly. At the same time, the Iran war has driven up oil prices, fuel costs around the region, which is just bad for incumbents. Oh, I see. When you have higher fuel costs or higher inflation in Latin America, every incumbent is going to suffer. And that's what you've seen in Chile and Columbia, Peru. But it's just inflation. There's not.

because you don't think it goes a little bit further where it's like, yeah, here's this guy that you went to the White House and your buddy, buddy with him. And this war that he started, which almost no one around the world except for the United States and Israel really care about has caused inflation to get to rise. That hasn't created a political penalty in your view for politicians who made the choice to be friends with Trump. It doesn't seem to have mattered in any of the polls I have seen. What you do see are people are angry at inflation. But people aren't making the big logical leap necessarily. But local and all elections are local and local incumbents get blamed for inflation. Therefore, higher gas prices, whether it's caused by the Iran War or something else, get blamed on the incumbent. Now, one interesting twist for Brazil. Brazil is very much in commodity exporting economy. If there have been higher commodity prices over the last six months, they're exporting oil, they're exporting soy.

They have benefited in some ways from the Iran war. I mean, certainly the Caribbean and Central America have been hit hard. Brazil, it's sort of net effect is sort of a wash, actually. And that may have helped Lula, though it's going to be a long time till we really are able to look at the data to understand that. Should we talk Venezuela? Yeah, yeah. All right. So going over to Venezuela, we have Machado who's come back. And now people are talking a little bit, a tiny bit. about the potential to have elections over there. And I saw on Poly Market, there's like an 8% chance of an election by the end of the year, which is fairly soon now. It's November. You're a super forecaster. What number would you put on it? This year, there's not going to be an election there. There's really going to be there. There's about a six to nine month run up for any election that has to happen because there are steps that must occur. And now.

I worry about those steps being drawn out over years and years and years where they just keep kicking the can down the road. But it should be about a six-month time frame, right? So the current Rubio plan as it exists, I say Rubio, not Trump very specifically, the current Rubio plan is that. Delcey Rodriguez will declare vacancy in the presidency. There will be a new electoral board and six months later there will be elections. Elections would ideally happen in July of next year, but maybe they get pushed to September or November of next year. I think that's the ideal. What would Delcey Rodriguez like? Probably closer to 2028 or 2029. And so this is the fight that's going on, I think, right now inside.

between Rubio and the Venezuelan authorities and inside the US government between Rubio and other aspects of the Trump administration because I do think that there are people within the Trump administration who would like to see that election delayed but I know that Rubio wants it on his record that that Venezuelan democracy happened on his watch and so he will be pushing hard I think for elections in the coming year. So one of the things that I read in your newsletter which I you know hadn't clicked is that or hadn't really thought of before is that you know there had been a lot of criticism in brazil and around the world towards lula for having been too friendly with maduro but you sort of flip the sides again it's like all right delcy part of maduro's party kind of chummy with trump maybe that allows Lula to create some space, maybe becomes an advocate for some sort of

version of Venezuelan democracy. Talk to us about that link. So there's an element in which Lula has called for new elections in Venezuela. And he was way too friendly with Hugo Chavez and Nicolas Maduro and various other left-wing dictators across the hemisphere. He has been for much of his career.

he can't be happy with how things are going in Venezuela, right? South America is Brazil's sphere of influence. And right now, Trump is treating Venezuela like a proxy colony in some ways. And so I think that Lula would like to see some sort of independence by Venezuela from the US authorities. And he thinks that a new election would potentially benefit him in that way, whether or not that election goes left or right. That said, the Venezuelan opposition hates Lula. Right. They blame Lula for a lot of what went wrong, the reason that they were not able to get a transition over the years. And so it's unlikely you'd see a Machado Lula hug fest and that they don't they get along. But they could become quiet allies of each other in this quest to push Venezuela towards elections. Wait, can you just explain what influence exactly Brazil has over Venezuela or what leverage they actually like exert here? That's a great question. So Lula, Brazil is Latin America's largest economy. It shares a border with Venezuela. Hypothetically, for years under Chavez and Maduro, there were tens of millions of development contracts that went from Brazil to Venezuela. And Brazil's construction companies constructed a bunch of Venezuelan infrastructure. Brazil should be influential in Venezuela. The fact that they haven't been is the surprise. They are the biggest military in South America. They're the biggest neighbor for Venezuela. They're the largest economy. They should be the most influential player in South America, in Venezuela. But under Jair Bolsonaro, Brazil stepped back from a lot of the diplomatic efforts to push transition. And then under Lula, they did very little after Maduro stole the 2024 election. And so both the right and the left in Brazil have taken that step back from what should be influenced in South America.

And I think Lula may want to reassert it because as presidents and late in their second term often do, when they become lame ducks, they turn towards foreign policy because it's where they have the influence. Want to know how three words might have changed our understanding of the biggest espionage case in U.S. history? Or the lengths the SEC might go to

investigate a golf tee time. The answers are out there. The trick is getting the government to share them. From Bloomberg and No Smiling, this is disclosure. a podcast about prying those secrets loose and the unexpected places that takes us. Listen or watch wherever you get your podcasts. All the talented petroleum engineers left a long time ago. The infrastructure is in place. It's still too uncertain. It's mostly noise. Where do you stand on that? The oil majors are looking, but they're not jumping it. Chevron is in. Chevron was in before Chevron will be in for the next 50 years. The rest of the oil majors, including Exxon and Conoco, who were kicked out under the Chavez era, they're interested. Venezuela is a sea of oil. It would be a great place to go. Nobody wants none of the larger firms.

want to go into Venezuela prior to some sort of certainty that their contracts will be respected. And so what you see instead are the NABEP, which is the company that Alejandro Bettencourt currently runs. The companies that are going in are small. They're not quite wildcatters, but they are the sort of companies that aren't there for the long run. They're there for the quick deals. And I think that as we look for how is Venezuela going to recover? How is Venezuela going to rebuild? You're not going to rebuild with a company that has never done serious oil drilling elsewhere in the world. And so one of the reasons to push for democracy in Venezuela is the fact that you do not get the oil majors to come in until they have that rule of law certainty. And they know that a 10-year investment or a 30-year investment is going to be able to stick and not just change two years from now when the government changes. Speaking of rule of law, I mentioned that headline that came out just before we started recording this, but the New York Times reporting that the U.S. is in negotiations for a potential military presence in Venezuela. What does that actually mean?

So as I understand it's a status of forces agreement which doesn't necessarily mean a permanent military base or military presence Instead it would be an agreement for the US military to be there to train to operate to provide support and maybe to engage in certain operations There was just an operation a couple days ago against an ELN camp near the Columbia border It looks like the US assisted the Venezuelan military in that The US wants these agreements so that we have legal certainty for what happens to the US soldiers when they are in country. And the Trump administration

would like that deal signed so that we can feel more comfortable having US military presence in the region. But it doesn't mean like a permanent base by any means. At least that's not how I read it. They could change that tomorrow. But how I read it today is just a basic agreement. What would happen if there were a free election held tomorrow in Venezuela? Maria Karim Machado would win.

Unambiguously. Yes. There's essentially no doubt that if you were to put Maria Karina Machado versus Delcey Rodriguez tomorrow in an election Better than 90% assuming everything was free and fair Maria Karina Machado wins and the odds go up the more you allow for Venezuelan ex-pats to vote that's just inside of Venezuela, which I think I think it's important to note There are a lot of Venezuelans who have left the country about a quarter of the population Has left the country over the last were she to become president at some point in the next couple of years What would be what would she do? Like what would substantively would be the change of course? there's a lot to be done in Venezuela and so first off she needs to consolidate her control with the military and the police and this is I think a big reason why the Trump administration didn't go with her originally is they weren't sure that she would have the respect of the armed forces. And I'm not defending their policy, but that was the reason that they gave was that they knew that Delcey Rodriguez would have control of the military and they weren't sure Machado would. And so Machado has to show that she can control the security forces. Then she needs to fix the economy.

And the economy is a wreck. It's one of the biggest economic collapses in world history that we've seen in Venezuela. That includes fixing the currency. That includes getting new oil investments. That includes fixing the economy outside of the oil economy as well. There are other sectors that need to be fixed. And she needs to restore democracy. And that includes having multiple parties. It's not, it can't just be the Chavistas and the opposition forever. There should be a wider range of democratic parties. And she needs to somehow restore the checks and balances, which means she probably loses the next election or her party does. And that's a really hard thing to ask any politician to do to set up a system knowing that you may be creating the environment where your party loses because of how the political pendulum will work. I know we implied in our intro that we

weren't going to talk about the US elections, North American elections, but you're a super forecaster. We're recording this on November 3rd. I kind of feel like we have to ask for an actual number.

So the Democrats are going to take the House. We're recording this at 2.59 p.m. November 3rd. I am 96% certain the Democrats are going to take the House of Representatives. I feel very confident in talking about what it means for the Democrats to take the House of Representatives. The Senate is closer to a coin flip than Nate Silver, who you had on last week, that said the possibility for a blue wave is definitely there, but it's not certain yet. So I can't make a call in the Senate, but I can definitely make a call in the House. It's going Democratic. Last question, what else should we be looking for, Latin America for the coming months? Any other elections coming up or anything? There are local elections in Ecuador. That sounds really boring. Like Mayor Keto. We'll do an episode on the run-up or preview episode for the Mayor Keto episode. That sounds fun.

El Nino is hitting Ecuador right now and Ecuador two years ago had a series of blackouts and they just started having power outages right now, which is not good for local elections and how they're going to function in Ecuador. So we have local elections in Ecuador and then next year we get elections in Guatemala and elections in Argentina. And everybody's going to be watching the run up to the elections in Argentina because the start of this most recent right-wing wave, if you want to call it that, was Javier Malay. And so whether Javier Malay can win re-election or Argentina goes towards a different path is going to start defining the next pendulum swing in Latin America. All right, James Bosworth, thank you so much for coming back on the podcast. Thanks for coming in studio. Really appreciate you taking your time. Thank you. Have a great day. That was fun. I really liked talking to...

James, it actually makes a lot of sense. The first round was an election about Lula, and then the second round was an election, a referendum on Bolsonaro. Everything makes sense in hindsight. No, no, I agree. It's still really surprising like the prediction markets got it so, so wrong. No, and of course we can all... That's James's story of how he got it wrong, but... I kind of buy it as a, like sort of, what would explain the electorate to shift in the

short period of time? It's like, oh, we don't like this little guy. It's time for someone new. And then it's like, oh, okay, a new guy wins. Oh, yeah, but it's Bolsonaro. And then the vote to turn it, it kind of makes sense to me. Yeah. To me, the big question is like, what does this mean for the orange wave? Yeah, yeah. And I take James's point that you have to deal with Trump in one way or another, if you're South America, because he finds a way to sort of insert himself into everything. But is that going to be political? Like, would aligning with him be as politically popular now as it used to be? Yeah, I know. That's the question. Look, you know, at some point, actually, we should do an episode on super forecasting, which I don't know anything about. So it's always like, oh, you're a super forecaster. What's your thing? Actually, don't even, that's a whole subculture of people are really good at forecasting. So I'm never going to doubt a super forecaster. It's like, hey, I'm not one. But I still find it hard to believe that there isn't a penalty in much of the world for being seen as too chummy with Trump at a time when Trump's war with Iran has driven up costs for everyone around the world. I think like the polling for Nigel Fraage For example, in the UK has been sliding because he's seen has been to Trump friendly, et cetera. So who knows what's going to happen there? It still makes you want, yeah, like, yes. In the meantime, you got to work with them, of course, and you have to like take them seriously, et cetera. But from a electoral standpoint, I don't know. I find it implausible that anyone really like wants to be too friendly with him in going into an election. Except maybe for Rodriguez. Except maybe for Rodriguez. Right. It's all very strange. All right. Shall we leave it there? Let's leave it there.

This has been another episode of the Odd Laws podcast. I'm Tracy Allaway. You can follow me at Tracy Allaway. And I'm Joe Wiesenthal. You can follow me at the stalwart. Follow our guest, James Bosworth, at BloggingsbyBoss. Follow our producers, Carmen Rodriguez, at Carmen Armand Daschelbenet at DashBot. Kale Brooks at Kale Brooks. And Kevin Lozano at Kevin Lloyd Lozano. And of course, you can chat about all of these topics 24-7 in our Discord, discord.gg slash Odd Laws. And for more Odd Laws content, check out our daily newsletter, which you can find bloomberg.com. And if you enjoyed this conversation, if you like it, when we talk Latin American politics, if you want us to do a regional Ecuador election episode, then please leave us a positive review on your favorite

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